Rajiv Gandhi Government In August 1989, the Rajiv Gandhi government introduced the 65th Constitutional Amendment Bill (i.e., Nagarpalika Bill) in the Lok Sabha. The bill aimed at strengthening and revamping the municipal bodies by conferring a constitutional status on them. Although the bill was passed in the Lok Sabha, it was defeated in the Rajya Sabha in October 1989 and hence, lapsed.

V. P. Singh Government The National Front Government under V P Singh introduced the revised Nagarpalika Bill in the Lok Sabha again in September 1990. However, the bill was not passed and finally lapsed due to the dissolution of the Lok Sabha.

Narasimha Rao Government P V Narasimha Rao Government also introduced the modified Municipalities Bill in the Lok Sabha in September 1991. It finally emerged as the 74th Constitutional Amendment Act of 1992 and came into force on 1 June 1993[2].

74TH AMENDMENT ACT OF 1992

This Act has added a new Part IX-A to the Constitution of India. This part is entitled as 'The Municipalities' and consists of provisions from Articles 243-P to 243-ZG. In addition, the act has also added a new Twelfth Schedule to the Constitution. This schedule contains eighteen functional items of municipalities. It deals with Article 243-W.

The act gave constitutional status to the municipalities. It has brought them under the purview of justiciable part of the Constitution. In other words, state governments are under constitutional obligation to adopt the new system of municipalities in accordance with the provisions of the act.

The act aims at revitalising and strengthening the urban governments so that they function effectively as units of local government.

 **Salient Features**

The salient features of the act are:

Three Types of Municipalities The act provides for the constitution of the following three types of municipalities in every state.

1. A *nagar panchayat* (by whatever name called) for a transitional area [3]
2. A *municipal council* for a smaller urban area.
3. A *municipal corporation* for a larger urban area.

But, there is one exception. If there is an urban area where municipal services are being provided by an industrial establishment, then the governor may specify that area to be an industrial township. In such a case, a municipality may not be constituted.

The governor has to specify a transitional area, a smaller urban area or a larger urban area, keeping in view the following factors:

1. Population of the area.
2. Density of the population therein.